

		indication that evidence of Defendants' profits or financial condition is relevant to liability. To minimize the potential prejudice to Defendants and pursuant to Civil Code section 3295(d), the Court GRANTS Defendants' motion to bifurcate the liability and punitive damages phases of trial, and to exclude evidence of Defendants' financial condition during the liability phase of trial. <i>Defendants to give notice.</i>
110	Zhejiang Zheshang Asset Management Co., Ltd. vs. Xinwen, 23-01367893	<u>Motion for Summary Judgment</u> Plaintiff ZHEJIANG ZHESHANG ASSET MANAGEMENT CO., LTD. will and hereby does move the court for an order granting Summary Judgment on Plaintiff's Complaint Seeking Recognition and Enforcement of Foreign Country Money Judgment (Code of Civ. Proc. §§ 1713 et seq.) ("Complaint") on file in this matter. Initially, 81 days' notice is required on a motion for summary judgment. CCP §437c(a). This motion was filed on 3/3/2026. It was served on Defense counsel via email on the same date. Notably, it appears the original hearing date for the motion July 30, 2026; however, that date was crossed out and September 24, 2026 inserted. Defendants argue they had no notice of the new hearing date. However, it appears that Defendants clearly had notice of the September 24, 2026 hearing date as they signed a stipulation to continue the September 8, 2026 trial to obtain a ruling on this dispositive motion. (Declaration of Lin ¶¶7-10, Ex. A.) The stipulation was signed on March 23, 2026. Clearly, Defendants have had more than 81 days notice of this motion. As this evidence was submitted with the reply, Defendants should be prepared to respond with any arguments refuting it at the hearing. Where, as here, plaintiff seeks summary judgment, the burden is to produce admissible evidence on each element of a "cause of action" entitling plaintiff to judgment. [CCP § 437c(p)(1).] Once the plaintiff has met that burden, the defendant has the burden to set forth specific facts showing that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. (Id.) Here, the First Amended Complaint has one cause of action for Recognition and Enforcement of Foreign-Country Money Judgment.

Notably, pursuant to CCP §1715(c), “A party seeking recognition of a foreign-country judgment has the burden of establishing that the foreign-country judgment is entitled to recognition under this chapter.” The party resisting recognition has the burden of establishing a specific ground for not recognizing the judgment. [CCP §§ 1715(c), 1716(e); *AO Alfa-Bank v Yakovlev* (2018) 21 Cal.App.5th 189, 199; *Hyundai Sec. Co., Ltd. v Lee* (2015) 232 Cal.App.4th 1379, 1386.]

To that end, the party must establish that “Under the law of the foreign country where rendered, [the judgment] is final, conclusive, and enforceable.” [CCP §1715(a)(2).]

In this instance, in support of its motion, Plaintiff submits two declarations, and a compendium of exhibits.

Plaintiff submits the Declaration of Hans Lin, who is the attorney of record for Zhejiang Zheshang Asset Management Co., Ltd. His declaration is submitted to support Plaintiff’s damages calculations, including the calculation of principal, accrued interest, compound interest, and currency conversion. (Decl. of Lin¶2.)

Additionally, Plaintiff submits the Declaration of Jianghuai Bai, a representative of the Zhejiang Zheshang Asset Management Co., Ltd. (Emphasis added, Decl. Bai¶1.) He states, “I have personal knowledge of the matters stated herein, and if called as a witness, would and could testify competently thereto.” (Id.) He sets forth the underlying loan agreement, its breach, and the dates of the underlying PRC case. Without directing the Court to any specific documents he declares:

“20. After crediting amounts recovered through foreclosure and auction proceedings, the remaining debt transferred to Plaintiff consisted of a principal balance of RMB 6,011,695.21 and accrued interest of RMB 20,799,465.87 as of March 20, 2020.

“21. The Higher People’s Court of Fujian Province subsequently issued an order confirming ZHEJIANG ZHESHANG ASSET MANAGEMENT CO., LTD. as the lawful judgment creditor entitled to enforce the judgment.”

Thereafter, he provides legal conclusions such as, “The proceedings before the Higher People’s Court of Fujian Province were conducted under a judicial system that provides impartial tribunals and procedures compatible with the requirements of due process of law.” (Decl. of Bai¶23).

Finally, he attempts to authenticate the exhibits attached to the compendium of exhibits by declaring, for example, “A true and correct copy of Foreign Judgment (2015) Rong Min Chu Zi No. 1207 is attached hereto as Exhibit C.” (Id.¶32.)

As to the Compendium of Exhibits, Plaintiff submits, among other documents, as Ex. C, the Intermediate People’s Court of Fuzhou Municipality, Fujian Province 2015 Civil Judgment and its translation. And, Ex. E, The People’s Republic of China Higher People’s Court of Fujian Province Civil Judgment and its translation (appeal which apparently reduced the judgment).

Defendants however argue that Plaintiff has not carried its threshold burden under Code of Civil Procedure (“CCP”) §1715(c), to establish, with admissible evidence, that the PRC judgment is final, conclusive, and enforceable, or that Plaintiff is the real party in interest as a valid assignee. *Manco Contracting Co. (W.L.L.) v. Bezdikian* (2008) 45 Cal.4th 192, 200–203.

Indeed, pursuant to CCP §437c(d), “Supporting and opposing affidavits or declarations shall be made by a person on personal knowledge, shall set forth admissible evidence, and shall show affirmatively that the affiant is competent to testify to the matters stated in the affidavits or declarations. An objection based on the failure to comply with the requirements of this subdivision, if not made at the hearing, shall be deemed waived.”

Attorney Lin’s declaration fails to establish the conclusive amount of the judgment as he fails to direct the Court to portions of the Judgment(s) establishing the damages awarded or the amount which has already been satisfied. Even if he did, he fails to authenticate any of those documents.

As to the Declaration of Bai, he fails to establish as a “representative” of an “assignee” to the judgment how he has personal knowledge of any of the documents attached to the Compendium of Exhibits. How were those documents obtained? Did he review them? In what capacity?

As such, it does not appear that Plaintiff has sustained its burden under CCP §437(p)(1) or CCP§1715.

Even assuming, arguendo, that Plaintiff sustained its burden, and the burden shifts to Defendants to create a triable issue of material fact (CCP §437(p)(1) and of establishing a specific ground for not recognizing the judgment (CCP §§ 1715(c), 1716(e), Defendants have done so.

At the outset, the Court notes that this is a Motion for Summary Judgment where just one triable issue of material fact defeats the motion. Pointedly, Defendants dispute practically all of Plaintiff’s 23 facts in their separate statement (ROA 148), in addition to setting forth three additional facts of their own.

Generally, a California court must recognize a foreign-country judgment, unless one or more of the statutory grounds for not recognizing the judgment apply. CCP § 1716(a). These grounds are as follows:

- The judgment was rendered under a judicial system that does not provide for impartial tribunals or procedures compatible with due process of law. CCP § 1716(b)(1).
- The foreign court did not have personal jurisdiction over the defendant. CCP § 1716(b)(2).
- The foreign court did not have jurisdiction over the subject matter. CCP § 1716(b)(3).
- The defendant in the foreign court proceeding did not receive notice of the proceeding in sufficient time to defend. CCP § 1716(c)(1)(A).
- The judgment was obtained by fraud that deprived the losing party of an adequate opportunity to present a case. CCP § 1716(c)(1)(B).
- The judgment or claim for relief on which the judgment is based is repugnant to the public policy of this state or of the United States. CCP § 1716(c)(1)(C).
- The foreign court proceeding was contrary to the parties' agreement under which their dispute was to be determined

otherwise than by proceedings in that court. CCP § 1716(c)(1)(D).

- In the case of jurisdiction based only on personal service, the foreign court was a seriously inconvenient forum for the trial of the action. CCP § 1716(c)(1)(E).
- The judgment was rendered in circumstances raising substantial doubt about the foreign court's integrity with respect to the judgment. CCP § 1716(c)(1)(F).
- The foreign court proceeding was incompatible with the requirements of due process of law. CCP § 1716(c)(1)(G).

Even if one or more of these grounds are shown, a California court may still recognize a foreign-country judgment if the party seeking recognition demonstrates good reason to recognize the judgment that outweighs the ground for not recognizing the judgment. [CCP § 1716(c)(2).]

Defendants herein submitted Answers which plead 11 affirmative defenses each. [See ROAS 11, 12.] In the Opposition, they argue:

- PRC Court Lacked Personal Jurisdiction Over Both Defendants
- Neither Defendant Received Notice Sufficient to Defend, Including of the Unnoticed Appellate Modification
- Fraud deprived them of an adequate opportunity to be heard.
- Judgment recognition is incompatible with due process.
- Judgment recognition is against public policy

Each of these grounds are essentially based on the same facts.

As to personal jurisdiction, a California court may not recognize a foreign-country judgment when the foreign court did not have personal jurisdiction over the defendant. CCP § 1716(b)(2). A foreign court lacks personal jurisdiction over a defendant if that court did not have a basis for exercising personal jurisdiction that would be sufficient according to the standards governing personal jurisdiction in California. CCP § 1717(a)(1). A foreign court also lacks personal jurisdiction if it did not have jurisdiction under its own law. CCP § 1717(a)(2). A California court may not refuse recognition of a foreign-country money

judgment for lack of personal jurisdiction under CCP § 1717(a)(2) if:

- (1) The defendant was served with process personally in the foreign country;
- (2) The defendant voluntarily appeared in the proceeding;
- (3) The defendant agreed to submit to the foreign court's jurisdiction before the proceeding was commenced;
- (4) The defendant was domiciled in the foreign country when the proceeding was instituted;
- (5) The defendant had a business office in that country and the proceeding involved a claim for relief arising out of business done by the defendant through that office; or
- (6) The defendant operated a motor vehicle or airplane in that country and the proceeding involved a claim for relief arising out of that operation. CCP § 1717(b).

This list of bases for personal jurisdiction is not exclusive. CCP § 1717(c).

Here, Plaintiff argues that Defendants Xinwen Zhuang and Minyan Zheng were properly served by publication in China. [UMF No. 7, See Exhibit C; Exhibit D; Bai Decl. ¶ 7.] Also, Plaintiff argues that Zheng appeared through counsel.

ZHENG

As to publication, Zheng declares:

“2. I became a lawful permanent resident of the United States in approximately September 2008 and was naturalized as a United States citizen in May 2022.

“6. I did not receive any summons, complaint, notice to respond, hearing notice, or other litigation documents at my former address in China.

“10. I never saw, read, or otherwise became aware of the purported service by publication in the Chinese newspaper named “People’s Court Daily”, whether before, during, or after the PRC proceeding.”

Both parties seemingly agree that publication is a valid means of service in both California and PRC.

However, in California the first requirement to obtaining a right to service by publication is a showing that reasonable attempts have been made to serve the defendant in some other authorized manner. [CCP § 415.50(a)]

No showing here has been established.

As to the argument that Ms. Zheng appeared through counsel, that is uncertain. If she appeared through counsel on December 16, 2015 as Plaintiff's Ex. G suggests, it does not follow that the Court would authorize service by publication on January 6, 2016 as Plaintiff's Ex. D purports.

Furthermore, she declares:

"11. I never retained any attorney in China, or anywhere else, to represent me in the PRC proceeding, and I never executed any power of attorney or otherwise authorized any attorney or agent to accept service, appear, or represent my interests on my behalf in that proceeding.

"12. The document produced in this case that purports to be a Power of Attorney authorizing legal representation in the PRC proceeding is not genuine as to me. I never signed it, never authorized anyone to sign it on my behalf, and never gave anyone the authority it purports to grant. I was unaware that any person had purported to appear on my behalf in the PRC proceeding until this California action commenced.

"13. I was living in the United States on or around December 16, 2015, the date shown on that purported Power of Attorney. I did not travel to China to execute it, and I did not sign it, or any other document purporting to authorize legal representation in the PRC proceeding, at that time or at any other time."

As such, there appear to be triable issues of material fact as to whether PRC obtained jurisdiction over Zheng, whether she had notice in time to defend, and whether the judgment was procured by fraud.

ZHUANG

As to service by publication he declares:

“5. I am a United States citizen. At all times relevant to this action, I have been domiciled in the United States.

“10. I never saw, read, or otherwise became aware of the purported service by publication in the Chinese newspaper named “People’s Court Daily”, whether before, during, or after the PRC proceeding, notwithstanding that my U.S. passport was identified on the purported Letter of Personal Guarantee.

“11. I have never been served with any PRC litigation documents while in the United States, whether by personal service, substituted service, service by mail, service by courier, service by email, or any other method directed to me in the United States.

“12. To my knowledge, no attempt was ever made to serve me, and neither Plaintiff, the PRC court, nor any process server ever contacted me, at my residence in the United States, regarding the PRC proceeding at any time before entry of the underlying judgment.

“20. Had I received timely and adequate notice of the PRC proceeding, I would have appeared and defended myself against the claims asserted against me.”

This sworn testimony creates a triable issue of material fact as to whether any attempt was made to first serve Mr. Zhuang by other means besides publication as required under CA law; and thus, whether the PRC had jurisdiction over Mr. Zhuang. It presents triable issues of fact as to whether jurisdiction over Mr. Zhuang was obtained and whether he had notice of the lawsuit in time to defend.

“Section 437c of the Code of Civil Procedure requires that an affidavit in opposition to a motion for summary judgment shall set forth facts showing that the party has a good and substantial defense to plaintiff’s action. By defendant’s affidavits he asserts that he has a good defense to plaintiff’s cause of action by reason of the fact that *he was never personally served in the Illinois action,*

he did not appear and did not authorize anyone to appear on his behalf in the proceedings.

“If defendant is able to establish that the Illinois judgment is void upon the ground that the court rendering it did not have jurisdiction, it will constitute a good defense to plaintiff’s action, and that issue having been raised, defendant should not be summarily deprived of a full hearing at a trial of the action.”

[Emphasis added, *Strauss v. Strauss* (1949) 90 Cal.App.2d 757, 759.]

For these reasons, the Motion for Summary Judgment is DENIED.

Defendants to give notice.

Motion to Deny Recognition of Foreign Country Money Judgment

Defendants Xinwen Zhuang and Minyan Zheng (“Moving Defendants”) will and hereby do move for an order denying recognition of the foreign-country money judgment that Plaintiff seeks to recognize and enforce in this action.

In an action seeking recognition of a foreign country judgment, the party seeking recognition has the burden to establish the foreign country judgment meets the requirements of the UFCMJRA. [Civ. Proc. Code, § 1715, subd. (c)]; [see also, *Naoko Ohno v. Yuko Yasuma*, 723 F.3d 984 (9th Cir. 2013)]

Pursuant to Ca Civ. Proc. Code § 1718(a), “the issue of recognition shall be raised by filing an action seeking recognition of the foreign-country judgment.”

Notably, the U.S. Supreme Court has held that foreign country judgments are prima facie evidence of the plaintiff’s claim. [See *Hilton v. Guyot*, 159 U.S. 113, 168 (1895).]

Thereafter, a party resisting recognition of a foreign country monetary judgment has the burden of establishing that (a) ground for nonrecognition set forth in section 1716 (b) [mandatory due process and jurisdictional issues] (c) [discretionary procedural due process jurisdictional issues]

and (d) [conflict with other judgments] exists. [Civ. Proc. Code, § 1716, subd. (e)]; [see also, *Naoko Ohno v. Yuko Yasuma*, 723 F.3d 984 (9th Cir. 2013)] Resistance to recognition of a foreign judgment “may be raised by counterclaim, cross-claim, or affirmative defense.” [Civ. Proc. Code, § 1718, subd. (b)]

In this instance, Plaintiff ZHEJIANG ZHESHANG ASSET MANAGEMENT CO., LTD. filed Complaint on 12/7/2023 for Recognition and Enforcement of Foreign Country Money Judgment. On 1/26/2024, Plaintiff filed a First Amended Complaint. Defendants XINWEN ZHUANG and MINYAN ZHENG filed separate Answers on 2/26/2024.

On 4/7/2026, Defendants filed this “NOTICE OF MOTION AND MOTION TO DENY RECOGNITION OF FOREIGN COUNTRY MONEY JUDGMENT”. In support of their motion, Defendants submit exhibits and declarations. Issues raised in the motion involve: whether a United States address was actually known to the PRC creditor or the PRC court, whether Defendants can collaterally attack Zheng’s court-filed Power of Attorney, and whether the PRC court’s service procedures complied with Chinese.

A month earlier, on 3/3/2026 Plaintiff filed a NOTICE OF MOTION AND MOTION FOR SUMMARY JUDGMENT, which is set for 9/24/2026.

The Court finds pursuant to *Hyundai Securities Co., Ltd. v. Lee* (2013) 215 Cal.App.4th 682, 686, the issues raised in the Defendants’ motion should be addressed via Motion for Summary Judgment. [“We hold that a proceeding under California’s “Uniform Foreign–Country Money Judgment Recognition Act” (Code Civ. Proc., §§ 1713–1724 (the Act)), is an action and subject to the requirements applicable to all actions. Because the trial court in this case recognized the foreign-country money judgment upon a petition rather than upon a duly noticed motion for summary judgment, judgment on the pleadings, or trial, we reverse the judgment.” *Hyundai Securities Co., Ltd. v. Lee* (2013) 215 Cal.App.4th 682, 686.]

Therefore, the Motion is DENIED on procedural grounds only.

Plaintiff to give notice.

